COMMERCIAL REAL ESTATE (CRE) MORTGAGE & CONSTRUCTION RISK MAN

LOAN-TO-VALUE CEILINGS, DEBT YIELDS & STRESS TESTING REQUIREMENTS

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SECTION 1: MAXIMUM LOAN-TO-VALUE (LTV) CEILINGS BY PROPERTY TYPE

1.1 Raw Land & Land Acquisition Loans:

Maximum allowable LTV is strictly capped at 65% of the lower of cost or appraised as-is value.

1.2 Land Development & Infrastructure:

Maximum allowable LTV is capped at 75% of total verified infrastructure development cost.

1.3 Commercial Construction (Office, Industrial, Retail, Hotel):

Maximum allowable Loan-to-Cost (LTC) is capped at 80% with minimum 20% hard cash equity in place.

1.4 Stabilized Multifamily Residential Properties (5+ Units):

Maximum allowable LTV is 80% for stabilized multifamily properties with sustained 90%+ occupancy.

1.5 Stabilized Commercial Office & Retail Centers:

Maximum allowable LTV is 75% with minimum 85% physical and economic pre-leasing verified.

SECTION 2: DEBT YIELD, SENSITIVITY TESTING & ENVIRONMENTAL AUDITS

2.1 Minimum Debt Yield Benchmark:

- Net Operating Income (NOI) divided by total loan amount must equal or exceed 9.50% at stabilization.
- For hospitality and lodging assets, minimum required Debt Yield is 11.00%.

2.2 Interest Rate Sensitivity & Refinance Stress Test:

- Underwriters must model a mandatory +300 bps (3.00%) upward interest rate stress scenario.
- Stressed DSCR under the +300 bps rate shock must not drop below 1.10x.

2.3 Interest & Operating Expense Reserves:

- Mandatory upfront escrow of 6 months of principal, interest, taxes, and insurance (PITI) debt reserve.

2.4 Environmental Site Assessment (ESA) Norms:

- Phase I Environmental Site Assessment (ESA) by certified environmental engineer mandatory for all loans > $1M.
- Any identified recognized environmental condition (REC) automatically mandates a Phase II subsurface test.